

The stock formed a long triple top (6 months wide) and broke out downward from it. From my notebook: "Sell reason: triple top confirmed. On the weekly chart, this has dropped below 2 or 3 peaks since Sept 2009, so it's time to bail out, especially since I am predicting a bear market. It's time to get out of insurance company stocks. This could drop back to 10."

The market just exited from a bear market in March, and I was predicting a second one. Really? Maybe I meant a bear market in the stock and not the general market.

Anyway, I sold my holdings and took a loss of 4% and 10% on the two trades but collected a few dividends along the way. The stock continued down to 18.81, nowhere near 10, but it bottomed 13% below the breakout price.

The stock climbed back up to the top of the triple top (31.08), and then dropped all the way down to 14.56.

If I'd held on, the loss to 18.81 would have meant a 23% decline. Yes, the stock almost doubled after that with a rise to 31, but you don't want to build bad habits by discarding your trading plan.

- Lesson: Don't build bad habits by discarding your trading plan. Plan the trade and trade the plan.

Honeywell International

The real surprise from looking at my spreadsheet of trades was that I traded busted triple tops three times. Let me tell you about one I made using Honeywell International (HON) stock in 2007, which I show in [Figure 68.5](#).

The triple top is at ABC, which confirmed as a valid triple top at D when price closed below the bottom of the pattern. The stock reversed quickly and closed above the top of the triple top on the price bar to the right of E. I bought the next day and received a fill at 60.09, just above the day's low. I was trying to trade the busted triple top.

The stock moved higher after my buy and that's often a good sign of a successful trade. A diamond top appeared within a week or two, but I didn't